PERKALATE / BRAND STRATEGY

When paid social gets pricier, test a targeted reward

Compare advertising and rewards using incremental orders and contribution margin.

A paid campaign buys a chance to get in front of a shopper. A targeted reward gives a chosen customer a reason to act. Both can help. To compare them, define the behavior you want and count what each one actually adds.

Pick a fair test

Keep your current acquisition campaign running. Set aside a small budget for one reward and one audience. Match the time window and use the same definition of a new customer for both channels.

Count the same costs

Include media, reward redemptions, fulfillment and program fees where applicable. Compare contribution after those costs. An attributed conversion and an incremental sale are different measurements, so use a holdout or a comparable period when possible.

Decide in advance what would earn another test

Look at repeat orders as well as first purchases. If the test is small, treat the result as a signal to investigate. Scale only after the comparison holds up with more customers or another cycle.